

September 27, 2026 09:25 PM GMT

Semiconductor Capital Equipment | North America

SEMICON West Preview

SEMICON has been a positive catalyst for SPE more often than not (absolute), but not relative (vs SOX).

Key Takeaways

- Expect lots of positive commentary (to no surprise) and themes similar to SEMICON Taiwan and ECOC.

What we'll hear from the conference. We think the key topics will be very similar to [SEMICON Taiwan](#) and [ECOC](#), with significant commentary around silicon photonics and related testing, advanced packaging, and, to a lesser extent, memory optimization. These themes have been top of mind throughout the year, and we expect the takeaways to be evolutionary rather than revolutionary. **What we'll hear from the companies.** Not surprisingly, we expect company messaging at SEMICON to come in various forms of: "demand is strengthening," "visibility is extending," "supply chain cooperation is closer than ever," and "we're building out capacity." We see this as more of a reiteration of existing trends than anything meaningfully new. One theme we're increasingly focused on, but are unlikely to get much color on, is whether WFE is becoming more of a volume market or remains primarily a technology market, as customers add greenfield capacity for N-1 nodes while pockets of the technology roadmap face delays.

Company events: 2 coverage companies are hosting larger events for the financial community. **1) AMAT Investor Breakfast:** Unlike the past 3 years, when AMAT hosted a "Technology Breakfast," the company is hosting an "Investor Breakfast" on the 13th. Our understanding is that the event will fall somewhere between a Technology Breakfast and a traditional Investor Day. We do not expect a point-specific model to be presented, but anticipate the company will provide some financial indicators. **2) CAMT Breakfast:** for more details see [4 Qs into SEMICON West](#).

Trading SEMICON. Over the last 10 shows, SEMICON has been a positive catalyst for SPE, with the group posting an average return of 4.1% over the two weeks leading into and one week following the show, and positive returns around 7 of the last 10 events. Returns have been stronger during upcycles (+5.7%) than downcycles (+2.6%). Relative to the SOX, however, performance has been more subdued, with returns roughly flat. **Thoughts on AMAT.** We fine-tune our CY27 revenue/EPS forecasts for AMAT from \$50.2bn/\$20.44 to \$50.7bn/\$20.92 as we raise our NAND and GM% forecasts. We lower our target multiple from 26x to 22x, with 22x representing a ~10% premium to the company's 20x through-cycle average since 2020. We believe SPE multiples track most closely with GM%, and we model meaningful margin expansion for AMAT this upcycle (CY25 48.8%, CY27 52.0%). The market is giving AMAT the benefit of the doubt, and we agree with that assessment; however, we prefer names where expectations are less reflected in the multiple. Remain EW.

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SEMICONDUCTOR CAPITAL EQUIPMENT

North America

Industry View

In-Line

WHAT'S CHANGED

Applied Materials Inc.

(AMAT.O)

Price Target

From

\$642.00

To

\$563.00

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For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

Trading SEMICON and AMAT Investor Breakfast

Trading SEMICON

We analyzed AMAT/LAM/KLA share price performance vs SOX in the 2 weeks leading up to the show, and 1-week/1-month following the show. Our takeaways were as follows:

- 2-weeks pre: positive returns 6 of the last 10 times, outperforming SOX 6 times.
- 1-week following: positive returns 7 of the last 10 times, outperforming SOX 5 times.
- 1-month following: positive returns 5 of the last 10 times, outperforming SOX 6 times.
- 1-month outperformance vs SOX was highest when in a downcycle (2019, 2023) and underperformance largest during upcycles (2016, 2020).

Exhibit 1:

Year	SPE Holding Return (Buy 2W Prior)		Core-5 Cycle	Core-5 y/y
	Sell 1W Post-Show	Sell 1M Post-Show	Position	Direction
2025	7.9%	15.6%	Upcycle	▼ 4pp
2024	(6.8%)	(16.8%)	Upcycle	▲ 11pp
2023	(0.6%)	4.6%	Downcycle	▼ 9pp
2022	6.2%	13.6%	Upcycle	▲ 4pp
2021	(1.3%)	0.6%	Upcycle	▼ 6pp
2020	7.8%	5.0%	Upcycle	▲ 2pp
2019	12.5%	12.0%	Downcycle	▲ 15pp
2018	0.4%	3.2%	Upcycle	▼ 18pp
2017	6.5%	(2.8%)	Upcycle	▼ 6pp
2016	8.6%	6.5%	Upcycle	▲ 28pp
Average	4.1%	4.2%		
Median	6.4%	4.8%		
% Positive	70%	80%		
Max	12.5%	15.6%		
Min	(6.8%)	(16.8%)		

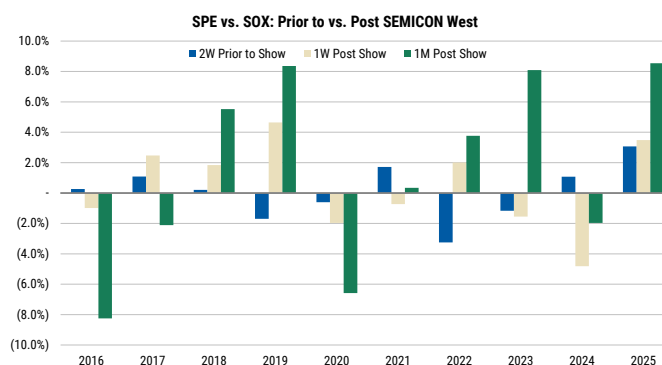
Source: FactSet, Morgan Stanley Research

Exhibit 2:

SPE Holding Return (Buy 2W Prior) by Core-5 Cycle Setup					
Setup	# Shows	1W Avg Return	1W % Positive	1M Avg Return	1M % Positive
▲ Higher	5	5.7%	80%	4.1%	80%
▼ Lower	5	2.6%	60%	4.2%	80%
Upcycle	8	3.7%	75%	3.1%	75%
Downcycle	2	5.9%	50%	8.3%	100%
All Shows	10	4.1%	70%	4.2%	80%

Source: FactSet, Morgan Stanley Research

Exhibit 3:



Source: FactSet, Morgan Stanley Research

AMAT Investor Breakfast

We expect AMAT could provide some guardrails around mid- to long-term GM%. Our thoughts are as follows:

- **AMAT vs. ASML.** ASML discloses GM% for its Installed Base Management (IBM) business. While IBM and AMAT's AGS have a similar mix - both include services and upgrades, with AGS also including spares and software - IBM's GM% is significantly higher. Our understanding is that the economics of an ASML tool upgrade are particularly attractive for the customer, allowing ASML to generate margins closer to those of a system sale. A case in point was 2025, when ASML saw customers accelerate NXE:3800E field upgrades to benefit from increased throughput.
- **AMAT vs. LAM.** At its JunQ earnings, LAM said it intends to drive GM% to the mid-50% range and OPM% to the mid-40% range, with annual expansion expected to take several years. Intra-quarter, LAM highlighted the key levers as new differentiated tools, its close-to-customer strategy, and pricing. One notable difference between the two companies is manufacturing footprint: LAM's primary manufacturing hub is in Malaysia, while AMAT's hubs are in Texas and Singapore, likely providing LAM with a cost advantage.

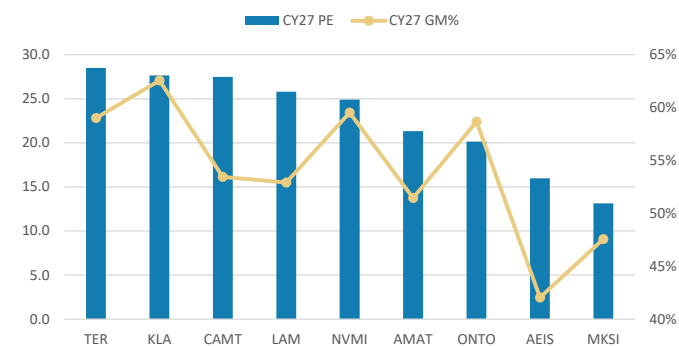
Our view. We see GM% for SPE companies as largely controllable and intentional, so we don't necessarily have expectations. That said, we would be surprised if AMAT discussed a path materially beyond the mid-50% range.

Exhibit 4: AMAT AGS vs ASML IBM GM%

	AMAT		ASML
	CY25	CY28e	CY25
Systems	53.6%	56.9%	53.5%
AGS/IBM	34.0%	36.6%	50.9%

Source: Company Data, Morgan Stanley research estimates

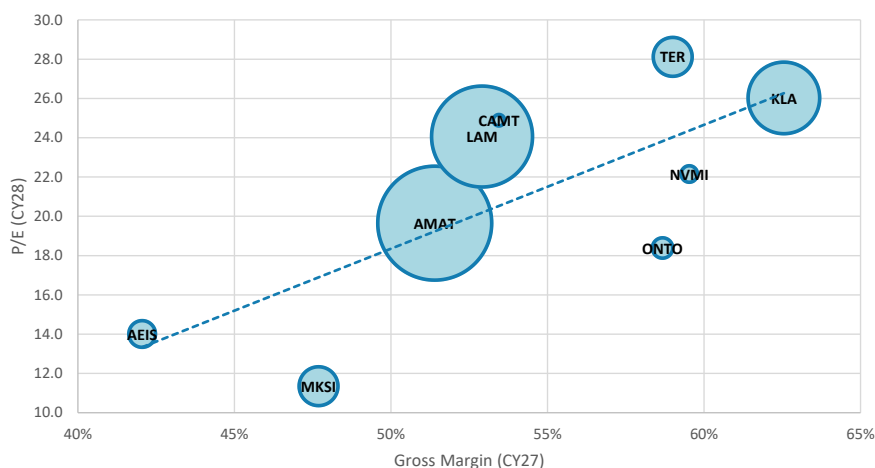
Exhibit 5: We believe SPE multiples track most closely with GM%



Source: Morgan Stanley research estimates

Exhibit 6:

The market is giving AMAT the benefit of the doubt, and we agree with that assessment; however, we prefer names where expectations are less reflected in the multiple



Source: Morgan Stanley research estimates

What if? At its JulQ earnings, AMAT commented that it had “nearly doubled our manufacturing capacity over the past several years” and that, “based on the longer-term demand signals from our customers, we are now doubling our quarterly system output from current levels by 2028.” Assuming quarterly system shipments reach ~\$14bn by mid-2028, we estimate revenue of ~\$68bn and EPS of ~\$31.70, implying AMAT is currently trading at ~15x this capacity-implied bull case. Since 2020, AMAT has troughed at ~10x in 4Q22 and ~13x in April 2025. Given the GM% expansion we model this cycle, we think AMAT merits a higher trough multiple than it has historically.

Exhibit 7: AMAT CY28 Base Case vs Bull Case

	CY28 MSe	CY28 Bull Case
Revenue	58,968	68,020
GM%	52.9%	54.0%
OPM%	38.7%	41.0%
EPS	\$25.6	\$31.7
Multiple	18.9	15.3

Source: Morgan Stanley Research estimates

Risk Reward – Applied Materials Inc. (AMAT.O)

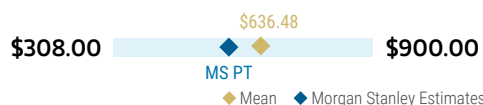
DRAM/Leading Logic upside & China/ICAPS derisked

PRICE TARGET \$563.00

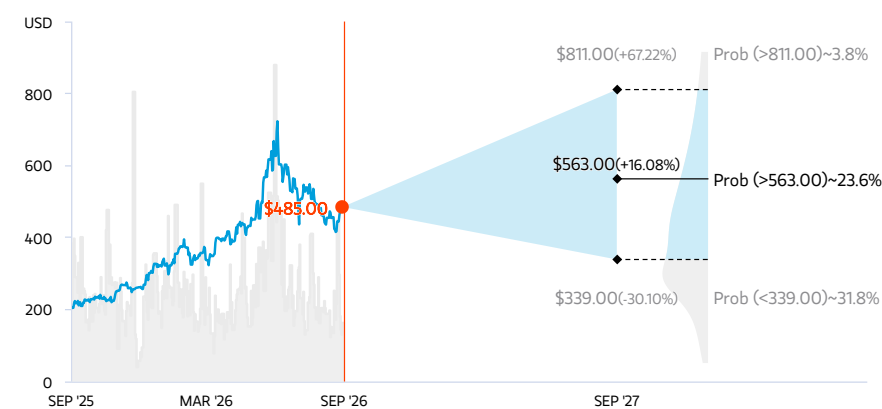
~22x CY28e EPS of \$25.61, ~10% premium to the company's 20x through-cycle average since 2020.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

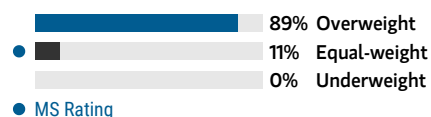
Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 25 Sep 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

■ AMAT has traded at a material valuation discount vs LAM & KLA given execution and concerns around market share loss in China. We think AMAT will be a share gainer in 2026 but given our growth forecast is in-line with broader WFE in 2027 we think the valuation discount is unlikely to narrow in the near term.

■ AMAT has the highest DRAM mix in their portfolio (CY26 32% vs LAM 24%, KLA 30%) and is most levered to greenfield wafer additions. We see DRAM as the fastest growing end-market in 2026 but the slowest growing in 2027.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$811.00

~28x CY28 EPS of \$28.96

DRAM & ICAPS remain strong and AMAT's margin expansion accelerates.

- Revenue grows 28.0% in CY28 as AMAT outperforms WFE
- Gross margin expands to 53.4% in CY28
- Multiples expand to 28x PE, as equipment is perceived as a growth sector within semis

BASE CASE

\$563.00

~22x CY28 EPS of \$25.61

AMAT grows in-line with WFE with DRAM growth slightly offset by China/ICAPS

- Revenue growth of 16.3% in CY28
- Non-GAAP gross margin slightly increases to 52.9% in CY28
- Multiple at a premium to AMAT's historical average

BEAR CASE

\$339.00

~15x CY28 EPS of \$22.58

DRAM WFE slows in 2027 and leading edge logic sees headwinds from foundries scaling back their aspirations.

- Revenue increases 7.0% in CY28 as WFE recovery is subdued.
- Gross margin of 52.2% in CY28
- Multiple contracts to a 15x PE, closer to cycle trough

Risk Reward – Applied Materials Inc. (AMAT.O)

KEY EARNINGS INPUTS

Drivers	Oct 2025	Oct 2026e	Oct 2027e	Oct 2028e
GAAP Revenue (\$, mm)	28,368	34,311	48,324	57,424
MW Gross Margin (%)	48.8	50.1	51.6	52.8
Non-GAAP EPS (\$)	9.42	12.76	19.60	24.68
Inventory (\$, mm)	5,915	6,819	7,803	8,812
DOI	146.2	143.0	119.9	116.8

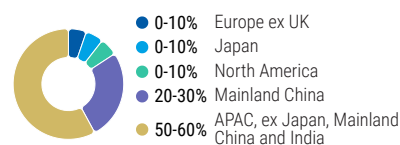
CATALYST CALENDAR

Date	Event	Source: Refinitiv, Morgan Stanley
12 Mar 2027 - 16 Mar 2027	Applied Materials Inc Annual Shareholders Meeting	

INVESTMENT DRIVERS

- DRAM WFE outpaces overall WFE growth
- AMAT capitalizes on logic growth opportunities (GAA, back-side power)

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Market share gains as DRAM outpaces WFE
- AMAT captures market share in logic architecture inflections (backside power)

RISKS TO DOWNSIDE

- Widespread restrictions on equipment shipments and services to China
- AMAT loses market share with key customers (Samsung, TSMC)

OWNERSHIP POSITIONING

Inst. Owners, % Active	50%	
HF Sector Long/Short Ratio	2.2x	
HF Sector Net Exposure	30.6%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Oct 2027e

Sales / Revenue (\$, mm)	43,085	48,324	51,006
		46,633	

EBITDA (\$, mm)	15,862	18,448	19,633
		17,476	

Net income (\$, mm)	13,377	15,559	17,022
		14,866	

EPS (\$)	16.72	19.60	21.77
		18.71	

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Projected Financial Statements

Exhibit 8: AMAT: Projected Income Statement

AMAT Inc. Income Statement (<i>\$ in millions; fiscal year ends in October</i>)	2026/1F	2026/2F	2026/3F	2026/4F	2027/1F	2027/2F	2027/3F	2027/4F	2028/1F	2028/2F	2028/3F	2028/4F					
	Jan-26 1Q26	Apr-26 2Q26	Jul-26 3Q26	Oct-26 4Q26e	Jan-27 1Q27e	Apr-27 2Q27e	Jul-27 3Q27e	Oct-27 4Q27e	Jan-28 1Q28e	Apr-28 2Q28e	Jul-28 3Q28e	Oct-28 4Q28e	2024	2025	2026	2027	2028
Revenues - GAAP	\$ 7,012.0	\$ 7,910.0	\$ 9,115.0	\$ 10,273.6	\$ 11,204.0	\$ 11,805.1	\$ 12,502.7	\$ 12,812.0	\$ 13,562.5	\$ 14,468.0	\$ 14,648.0	\$ 14,745.5	\$ 27,635.0	\$ 28,214.0	\$ 38,502.6	\$ 50,682.3	\$ 58,967.6
Q-o-Q change	3.1%	12.8%	15.2%	12.7%	9.1%	5.4%	5.9%	2.5%	5.9%	6.7%	1.2%	0.7%	4.3%	2.1%	36.5%	31.6%	16.3%
Y-o-Y change	-2.1%	11.4%	24.8%	51.1%	59.8%	49.2%	37.2%	24.7%	21.1%	22.6%	17.2%	15.1%					
COGS - GAAP	3,577.0	3,963.0	4,529.0	5,095.7	5,501.2	5,749.1	6,038.8	6,136.9	6,455.7	6,857.8	6,913.8	6,930.4	14,446.0	14,467.0	19,088.9	24,380.6	27,801.9
COGS - non GAAP	3,570.0	3,957.0	4,518.0	5,084.7	5,490.2	5,738.1	6,027.8	6,125.9	6,444.7	6,846.8	6,902.8	6,919.4	14,417.0	14,440.0	19,049.9	24,336.6	27,757.9
Gross Profit - GAAP	3,435.0	3,947.0	4,586.0	5,177.9	5,702.8	6,056.0	6,463.9	6,675.1	7,106.7	7,610.2	7,734.1	7,815.1	13,189.0	13,747.0	19,413.7	26,301.7	31,165.7
Gross Margin - GAAP	49.0%	49.9%	50.3%	50.4%	50.9%	51.3%	51.7%	52.1%	52.4%	52.6%	52.8%	53.0%	47.7%	48.7%	50.4%	51.9%	52.9%
Gross Profit - non GAAP	3,442.0	3,953.0	4,597.0	5,188.9	5,713.8	6,067.0	6,474.9	6,686.1	7,117.7	7,621.2	7,745.1	7,826.1	13,218.0	13,774.0	19,452.7	26,345.7	31,209.7
Gross Margin - non GAAP	49.1%	50.0%	50.4%	50.5%	51.0%	51.4%	51.8%	52.2%	52.5%	52.7%	52.9%	53.1%	47.8%	48.8%	50.5%	52.0%	52.9%
R&D - non GAAP	928.0	1,027.0	1,100.0	1,157.6	1,240.1	1,288.9	1,352.5	1,373.2	1,440.1	1,536.2	1,540.7	1,550.9	3,338.0	3,639.0	4,524.7	5,454.7	6,201.6
Percentage of Revenues	13.2%	13.0%	12.1%	11.3%	11.1%	10.9%	10.8%	10.7%	10.6%	10.6%	10.5%	10.5%	12.1%	12.9%	11.8%	10.8%	10.5%
Selling, General and Administrative - non GAAP	411.0	397.0	411.0	427.3	466.0	479.2	495.0	494.4	523.4	543.9	550.6	539.5	1,776.0	1,717.0	1,701.3	1,992.0	2,201.9
Percentage of Revenues	5.9%	5.0%	4.5%	4.2%	4.2%	4.1%	4.0%	3.9%	3.9%	3.8%	3.8%	3.7%	6.4%	6.1%	4.4%	3.9%	3.7%
Other OpEx - non GAAP	(4.0)	(7.0)	(10.0)	(10.0)	(10.0)	(10.0)	(10.0)	(10.0)	(10.0)	(10.0)	(10.0)	(10.0)	(29.0)	(61.0)	(37.0)	(40.0)	(40.0)
Operating Expenses - GAAP	1,604.0	1,424.0	1,511.0	1,584.9	1,706.0	1,768.1	1,847.5	1,867.6	1,963.4	2,080.1	2,091.3	2,090.5	5,114.0	5,802.0	6,226.0	7,446.7	8,403.5
Operating Expenses - non GAAP	1,335.0	1,417.0	1,501.0	1,574.9	1,696.0	1,758.1	1,837.5	1,857.6	1,953.4	2,070.1	2,081.3	2,080.5	5,085.0	5,295.0	6,189.0	7,406.7	8,363.5
Operating Income - GAAP	1,831.0	2,523.0	3,075.0	3,593.0	3,996.8	4,288.0	4,616.4	4,807.4	5,143.3	5,530.1	5,642.8	5,724.6	8,075.0	7,945.0	13,187.8	18,855.1	22,762.2
Operating Margin GAAP%	26.1%	31.9%	33.7%	35.0%	35.7%	36.3%	36.9%	37.5%	37.9%	38.2%	38.5%	38.6%	29.2%	28.2%	34.3%	37.2%	38.6%
Operating Income - non GAAP	2,107.0	2,536.0	3,096.0	3,614.0	4,017.8	4,309.0	4,637.4	4,828.4	5,164.3	5,551.1	5,663.8	5,745.6	8,133.0	8,479.0	13,263.8	18,939.1	22,846.2
Operating Margin non GAAP%	30.0%	32.1%	34.0%	35.2%	35.9%	36.5%	37.1%	37.7%	38.1%	38.4%	38.7%	39.0%	29.4%	30.1%	34.4%	37.4%	38.7%
Total Interest Income (net) and Other Income - non GAAP	27.0	32.0	45.0	1.4	13.6	19.4	27.0	31.0	39.9	49.8	59.3	73.2	251.0	126.0	92.1	117.2	270.9
PBT - GAAP	2,328.0	3,225.0	2,907.0	3,594.4	4,010.4	4,307.4	4,643.3	4,838.4	5,183.2	5,579.9	5,702.2	5,797.8	7,968.0	9,480.0	13,736.8	18,972.3	23,033.1
PBT - non GAAP	2,134.0	2,568.0	3,141.0	3,615.4	4,031.4	4,328.4	4,664.3	4,859.4	5,204.2	5,600.9	5,723.2	5,818.8	8,384.0	8,605.0	13,355.8	19,056.3	23,117.1
Income Tax Expense (Benefit) - non GAAP	235.0	282.0	346.0	398.3	524.1	562.7	606.4	631.7	702.6	756.1	772.6	785.5	1,010.0	1,045.0	1,550.3	2,503.3	3,120.8
Effective tax rate non GAAP	11.0%	11.0%	11.0%	11.0%	13.0%	13.0%	13.0%	13.0%	13.5%	13.5%	13.5%	13.5%	12.0%	12.1%	11.6%	13.1%	13.5%
Net Income, Cont. Ops. - GAAP	2,026.0	2,806.0	2,538.0	3,196.2	3,486.3	3,744.7	4,037.0	4,206.7	4,480.6	4,823.8	4,929.5	5,012.2	6,343.0	7,839.0	12,026.5	16,469.0	19,912.3
Net Income, Cont. Ops. - non GAAP	1,899.0	2,286.0	2,795.0	3,217.2	3,507.3	3,765.7	4,058.0	4,227.7	4,501.6	4,844.8	4,950.5	5,033.2	7,374.0	7,560.0	11,805.5	16,553.0	19,996.3
EPS - GAAP	\$ 2.54	\$ 3.51	\$ 3.17	\$ 4.00	\$ 4.37	\$ 4.71	\$ 5.09	\$ 5.32	\$ 5.69	\$ 6.15	\$ 6.30	\$ 6.43	\$ 7.65	\$ 9.77	\$ 15.05	\$ 20.81	\$ 25.50
EPS - non GAAP	\$ 2.38	\$ 2.86	\$ 3.49	\$ 4.02	\$ 4.40	\$ 4.74	\$ 5.12	\$ 5.35	\$ 5.72	\$ 6.17	\$ 6.33	\$ 6.46	\$ 8.90	\$ 9.42	\$ 14.78	\$ 20.92	\$ 25.61
EPS - MW	\$ 2.07	\$ 2.85	\$ 3.48	\$ 4.02	\$ 4.40	\$ 4.74	\$ 5.12	\$ 5.35	\$ 5.72	\$ 6.17	\$ 6.33	\$ 6.46	\$ 8.88	\$ 9.43	\$ 14.75	\$ 20.92	\$ 25.61

Source: Company Data, Morgan Stanley Research

Exhibit 9: AMAT: Projected Balance Sheet

AMAT Inc. Balance Sheet (\$ in millions; fiscal year ends in October)	2026/1F Jan-26 1Q26	2026/2F Apr-26 2Q26	2026/3F Jul-26 3Q26	2026/4F Oct-26 4Q26e	2027/1F Jan-27 1Q27e	2027/2F Apr-27 2Q27e	2027/3F Jul-27 3Q27e	2027/4F Oct-27 4Q27e	2028/1F Jan-28 1Q28e	2028/2F Apr-28 2Q28e	2028/3F Jul-28 3Q28e	2028/4F Oct-28 4Q28e	CY2024A	CY2025A	CY2026E	CY2027E	CY2028E
Assets																	
Cash and cash equivalents	7,218.0	6,301.0	7,037.0	8,256.8	8,836.8	8,326.8	8,728.2	9,618.0	10,611.6	11,563.0	12,946.4	14,490.3	6,264.0	7,218.0	8,836.8	10,611.6	16,381.9
Short-term investments	1,293.0	1,940.0	2,196.0	2,196.0	2,196.0	2,196.0	2,196.0	2,196.0	2,196.0	2,196.0	2,196.0	2,196.0	1,949.0	1,293.0	2,196.0	2,196.0	2,196.0
Accounts receivables, net	4,977.0	6,372.0	7,691.0	8,668.6	9,453.6	9,960.8	10,549.5	10,810.4	11,443.7	12,207.7	12,359.6	12,441.9	5,998.0	4,977.0	9,453.6	11,443.7	12,746.1
Inventory	5,997.0	6,343.0	6,564.0	6,819.2	7,178.4	7,310.2	7,678.7	7,803.4	8,208.8	8,720.1	8,791.3	8,812.3	5,501.0	5,997.0	7,178.4	8,208.8	9,027.8
Deferred income taxes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other current assets	1,564.0	1,615.0	1,607.0	1,607.0	1,607.0	1,607.0	1,607.0	1,607.0	1,607.0	1,607.0	1,607.0	1,607.0	982.0	1,564.0	1,607.0	1,607.0	1,607.0
Total Current Assets	21,049.0	22,571.0	25,095.0	27,547.5	29,271.8	29,400.9	30,759.3	32,034.9	34,067.1	36,293.9	37,900.3	39,547.4	20,694.0	21,049.0	29,271.8	34,067.1	41,958.9
Property and equipment, net	4,949.0	5,255.0	5,606.0	6,251.9	6,984.9	7,752.2	8,560.7	9,378.6	9,833.8	10,323.8	10,811.7	11,293.2	3,563.0	4,949.0	6,984.9	9,833.8	11,781.3
Restricted cash	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Long-term investments	4,968.0	5,142.0	5,268.0	5,268.0	5,268.0	5,268.0	5,268.0	5,268.0	5,268.0	5,268.0	5,268.0	5,268.0	2,686.0	4,968.0	5,268.0	5,268.0	5,268.0
Deferred income taxes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Goodwill	3,707.0	3,824.0	3,873.0	3,873.0	3,873.0	3,873.0	3,873.0	3,873.0	3,873.0	3,873.0	3,873.0	3,873.0	3,768.0	3,707.0	3,873.0	3,873.0	3,873.0
Intangible assets, net	215.0	330.0	315.0	315.0	315.0	315.0	315.0	315.0	315.0	315.0	315.0	315.0	237.0	215.0	315.0	315.0	315.0
Other non-current assets	2,756.0	3,164.0	3,365.0	3,365.0	3,365.0	3,365.0	3,365.0	3,365.0	3,365.0	3,365.0	3,365.0	3,365.0	2,390.0	2,756.0	3,365.0	3,365.0	3,365.0
Total Assets	37,644.0	40,286.0	43,522.0	46,620.4	49,077.7	49,974.1	52,141.1	54,234.5	56,721.9	59,438.7	61,533.0	63,661.6	33,338.0	37,644.0	49,077.7	56,721.9	66,561.2
Liabilities & Shareholders' Equity																	
Accounts payable, Notes Payable and Accrued Exp	5,181.0	5,229.0	5,787.0	6,511.1	7,029.2	7,346.0	7,716.2	7,841.6	8,248.9	8,762.7	8,834.3	8,855.4	4,485.0	5,181.0	7,029.2	8,248.9	9,072.0
Deferred profit	2,472.0	2,570.0	3,271.0	3,271.0	3,271.0	3,271.0	3,271.0	3,271.0	3,271.0	3,271.0	3,271.0	3,271.0	2,452.0	2,472.0	3,271.0	3,271.0	3,271.0
Income taxes payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Current portion of long-term debt	100.0	1,199.0	1,299.0	1,299.0	1,299.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	799.0	100.0	1,299.0	100.0	100.0
Total Current Liabilities	7,753.0	8,998.0	10,357.0	11,081.1	11,599.2	10,717.0	11,087.2	11,212.6	11,619.9	12,133.7	12,205.3	12,226.4	7,736.0	7,753.0	11,599.2	11,619.9	12,443.0
Long-term debt	6,453.0	5,256.0	5,245.0	5,245.0	5,245.0	5,245.0	5,245.0	5,245.0	5,245.0	5,245.0	5,245.0	5,245.0	5,461.0	6,453.0	5,245.0	5,245.0	5,245.0
Deferred profit, non-current	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Income taxes payable	507.0	704.0	880.0	880.0	880.0	880.0	880.0	880.0	880.0	880.0	880.0	880.0	684.0	507.0	880.0	880.0	880.0
Other long-term liabilities	1,214.0	1,419.0	1,414.0	1,286.0	1,158.0	1,030.0	902.0	774.0	646.0	518.0	390.0	262.0	832.0	1,214.0	1,158.0	646.0	134.0
Minority interest	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Shareholders' Equity	21,717.0	23,909.0	25,626.0	28,128.3	30,195.5	32,102.1	34,026.9	36,122.9	38,331.0	40,662.0	42,812.7	45,048.2	18,625.0	21,717.0	30,195.5	38,331.0	47,859.2
Total Liabilities & Equity	37,644.0	40,286.0	43,522.0	46,620.4	49,077.7	49,974.1	52,141.1	54,234.5	56,721.9	59,438.7	61,533.0	63,661.6	33,338.0	37,644.0	49,077.7	56,721.9	66,561.2

Source: Company Data, Morgan Stanley Research

Exhibit 10: AMAT: Projected Cash Flow Statement

AMAT Inc. Statement of Cash Flows (Non Cumulative) (\$ in millions; fiscal year ends in October)	2026/1F Jan-26 1Q26	2026/2F Apr-26 2Q26	2026/3F Jul-26 3Q26	2026/4F Oct-26 4Q26e	2027/1F Jan-27 1Q27e	2027/2F Apr-27 2Q27e	2027/3F Jul-27 3Q27e	2027/4F Oct-27 4Q27e	2028/1F Jan-28 1Q28e	2028/2F Apr-28 2Q28e	2028/3F Jul-28 3Q28e	2028/4F Oct-28 4Q28e
Cash flows provided by (used for) operating activities:												
Net income	\$ 2,026.0	\$ 2,806.0	\$ 2,538.0	\$ 3,196.2	\$ 3,486.3	\$ 3,744.7	\$ 4,037.0	\$ 4,206.7	\$ 4,480.6	\$ 4,823.8	\$ 4,929.5	\$ 5,012.2
Adjustments to reconcile net income to net cash												
Depreciation and amortization	127.0	135.0	151.0	151.0	163.3	177.1	191.7	207.1	222.9	233.4	244.5	255.8
Stock-based compensation	207.0	169.0	169.0	169.0	202.8	182.5	182.5	182.5	219.0	197.1	197.1	197.1
Tax effect from stock-based compensation	-	-	-	-	-	-	-	-	-	-	-	-
Loss (gain) on equity investments, net	-	-	-	-	-	-	-	-	-	-	-	-
Restructuring charges and asset impairments	12.0	-	-	-	-	-	-	-	-	-	-	-
Gain/Loss on disposal of property, plant and equipment	-	-	-	-	-	-	-	-	-	-	-	-
Deferred income taxes	(78.0)	152.0	(49.0)	-	-	-	-	-	-	-	-	-
Other non-cash items	(214.0)	(920.0)	214.0	-	-	-	-	-	-	-	-	-
Changes in current assets and liabilities:												
Accounts receivable	208.0	(1,396.0)	(1,320.0)	(977.6)	(785.0)	(507.2)	(588.6)	(261.0)	(633.2)	(764.1)	(151.8)	(82.3)
Inventory	(82.0)	(319.0)	(208.0)	(255.2)	(359.2)	(131.9)	(368.4)	(124.8)	(405.4)	(511.3)	(71.2)	(21.0)
Income taxes receivable	-	-	-	-	-	-	-	-	-	-	-	-
Other current assets	(154.0)	(240.0)	61.0	-	-	-	-	-	-	-	-	-
Accounts payable	(760.0)	539.0	633.0	724.1	518.1	316.8	370.2	125.4	407.3	513.8	71.6	21.1
Income taxes payable	481.0	(156.0)	137.0	-	-	-	-	-	-	-	-	-
Deferred revenues	(94.0)	91.0	701.0	-	-	-	-	-	-	-	-	-
Other changes in assets and liabilities	7.0	(16.0)	10.0	-	-	-	-	-	-	-	-	-
Net cash provided by operating activities	1,686.0	845.0	3,037.0	3,007.5	3,226.3	3,782.0	3,824.3	4,336.0	4,291.3	4,492.7	5,219.7	5,383.0
Cash flows from investing activities:												
Capital expenditures, net	(646.0)	(635.0)	(707.0)	(796.9)	(896.3)	(944.4)	(1,000.2)	(1,025.0)	(678.1)	(723.4)	(732.4)	(737.3)
Restricted cash	-	-	-	-	-	-	-	-	-	-	-	-
Purchase of available-for-sale securities	(1,277.0)	(2,246.0)	(1,970.0)	-	-	-	-	-	-	-	-	-
Sales and maturities of available-for-sale securities	1,143.0	2,091.0	1,351.0	-	-	-	-	-	-	-	-	-
Purchase of long-term investments	-	-	-	-	-	-	-	-	-	-	-	-
Purchase of intangible assets	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from sale of business, net	-	6.0	-	-	-	-	-	-	-	-	-	-
Other investing activities	-	(175.0)	(87.0)	-	-	-	-	-	-	-	-	-
Net cash used for investing activities	(780.0)	(959.0)	(1,413.0)	(796.9)	(896.3)	(944.4)	(1,000.2)	(1,025.0)	(678.1)	(723.4)	(732.4)	(737.3)
Cash flows from financing activities:												
Proceeds from (payments of) long-term debt	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from common stock issuances	-	131.0	-	-	-	-	-	-	-	-	-	-
Proceeds from (payments of) short-term debt	-	(100.0)	99.0	-	-	(1,199.0)	-	-	-	-	-	-
Payment of dividends to stockholders	(365.0)	(365.0)	(420.0)	(422.9)	(421.9)	(420.6)	(494.7)	(493.2)	(491.6)	(489.9)	(576.0)	(573.9)
Treasury stock repurchases	(337.0)	(400.0)	(440.0)	(440.0)	(1,200.0)	(1,600.0)	(1,800.0)	(1,800.0)	(2,000.0)	(2,200.0)	(2,400.0)	(2,400.0)
Other financing activities	(229.0)	(80.0)	(128.0)	(128.0)	(128.0)	(128.0)	(128.0)	(128.0)	(128.0)	(128.0)	(128.0)	(128.0)
Net cash used for financing activities	(931.0)	(814.0)	(889.0)	(990.9)	(1,749.9)	(3,347.6)	(2,422.7)	(2,421.2)	(2,619.6)	(2,817.9)	(3,104.0)	(3,101.9)
Effect of exchange rate changes on cash and cash equivalents	-	-	-	-	-	-	-	-	-	-	-	-
Cash and cash equivalents, beginning of period	7,241.0	7,218.0	6,301.0	7,037.0	8,256.8	8,836.8	8,326.8	8,728.2	9,618.0	10,611.6	11,563.0	12,946.4
Change in cash flow due to restatement	2.0	11.0	1.0	-	-	-	-	-	-	-	-	-
Net increase (decrease) in cash and cash equivalents	(25.0)	(928.0)	735.0	1,219.8	580.0	(510.0)	401.4	889.8	993.6	951.4	1,383.3	1,543.9
Cash and cash equivalents, end of period	7,216.0	6,301.0	7,037.0	8,256.8	8,836.8	8,326.8	8,728.2	9,618.0	10,611.6	11,563.0	12,946.4	14,490.3

CY2024A	CY2025A	CY2026E	CY2027E	CY2028E
\$ 6,343.0	\$ 7,839.0	\$ 12,026.5	\$ 16,469.0	\$ 19,912.3
406.0	457.0	600.3	798.8	1,000.9
602.0	680.0	709.8	766.6	827.9
-	-	-	-	-
-	191.0	-	-	-
-	-	-	-	-
107.0	(107.0)	103.0	-	-
377.0	(1,070.0)	(706.0)	-	-
-	-	-	-	-
(1,298.0)	1,021.0	(4,478.6)	(1,990.0)	(1,302.5)
145.0	(496.0)	(1,141.4)	(1,030.4)	(819.0)
-	-	-	-	-
364.0	(388.0)	(179.0)	-	-
391.0	(24.0)	2,414.2	1,219.7	823.0
461.0	531.0	(19.0)	-	-
(695.0)	20.0	792.0	-	-
74.0	65.0	(6.0)	-	-
7,277.0	8,719.0	10,115.8	16,233.6	20,442.6
(1,342.0)	(2,525.0)	(3,035.2)	(3,647.7)	(2,948.4)
-	-	-	-	-
(4,550.0)	(5,620.0)	(4,216.0)	-	-
3,143.0	5,448.0	3,442.0	-	-
-	-	-	-	-
-	-	-	-	-
-	33.0	6.0	-	-
(28.0)	(1.0)	(262.0)	-	-
(2,777.0)	(2,665.0)	(4,065.2)	(3,647.7)	(2,948.4)
-	291.0	-	-	-
243.0	261.0	131.0	-	-
1.0	1.0	(1.0)	(1,199.0)	-
(1,252.0)	(1,423.0)	(1,629.8)	(1,900.1)	(2,211.9)
(4,441.0)	(3,914.0)	(2,480.0)	(7,200.0)	(9,000.0)
350.0	(338.0)	(464.0)	(512.0)	(512.0)
(5,099.0)	(5,122.0)	(4,443.8)	(10,811.1)	(11,723.9)
-	-	-	-	-
6,854.0	6,264.0	7,218.0	8,836.8	10,611.6
9.0	22.0	12.0	-	-
(599.0)	932.0	1,606.8	1,774.8	5,770.3
6,264.0	7,218.0	8,836.8	10,611.6	16,381.9

Source: Company Data, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of August 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1555	42%	450	48%	29%	767	44%
Equal-weight/Hold	1577	43%	395	42%	25%	770	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/25/2026)
Shane Brett		
Advanced Energy Industries Inc. (AEIS.O)	O (07/22/2026)	\$279.68
Applied Materials Inc. (AMAT.O)	E (05/18/2026)	\$485.00
Camtek (CAMT.O)	E (12/01/2025)	\$147.05
KLA Corp (KLAC.O)	O (01/15/2026)	\$187.92
Lam Research Corp (LRCX.O)	O (05/18/2026)	\$315.21
MKS Inc. (MKSJ.O)	O (08/04/2024)	\$260.82
Nova Ltd (NVMI.O)	E (12/01/2025)	\$368.23
ONTO Innovation Inc (ONTO.N)	O (06/14/2026)	\$287.64
Teradyne Inc (TER.O)	E (07/30/2025)	\$398.38

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